

Momentum & Factor Models

Lesson Explainer

The Concept

Momentum is the observed tendency for assets that have recently performed well to keep outperforming, and for recent laggards to keep lagging - the mirror image of mean reversion. It's one of the most studied patterns in academic finance, though not guaranteed and prone to sharp reversals.

A factor is a specific, measurable characteristic historically associated with different returns across securities. Momentum is one factor; others include value, quality, and size.

A factor model builds a portfolio systematically around one or more of these characteristics - ranking a universe and holding the top slice - rather than relying on any single stock-specific thesis.

Illustrative Example: Ranking a Universe by 6-Month Momentum

A simple momentum factor ranks stocks by trailing 6-month return and holds the top slice.

Stock	6-Month Return	Rank	Illustrative Action
Stock A	+42%	1	Hold (Top Momentum)
Stock B	+31%	2	Hold (Top Momentum)
Stock C	+8%	3	No Position
Stock D	-6%	4	No Position
Stock E	-19%	5	No Position (Bottom)

Stocks A and B are held not because of any specific business view, but purely because their trailing return ranks them at the top - the same rule applied systematically across a whole universe.

5 Things to Know About Momentum & Factors

1. Momentum and mean reversion aren't contradictions - they operate over different timeframes.
2. Momentum crashes are a known, documented risk, especially around market turning points.
3. Factors can underperform for long periods - value lagged growth for much of the 2010s.
4. Factor investing is diversification across bets, not stocks - hold many names, not a few.
5. Factors can crowd - many funds chasing the same definitions can itself become a risk.

4 Things to Check Before Trusting a Factor Strategy

- Define the lookback precisely - 3, 6, or 12-month momentum ranks names very differently.
- Set a rebalancing rule - decide how often to re-rank and how much turnover that implies.
- Diversify across names - the edge comes from many small bets, not a concentrated handful.
- Plan for drawdowns in the factor itself - expect extended underperformance stretches.

Worth knowing:

this explains the historical, academic evidence behind momentum and factor investing using illustrative numbers - it isn't personalized financial advice, and no strategy here is a recommendation to trade. Past patterns are never guaranteed to repeat.

Quiz — Answer the questions, then check the key on the next page

1. What does a momentum strategy bet on?

- A. That a stretched price will snap back to its average
- B. That assets which have recently performed well will keep outperforming
- C. That all stocks will converge to the same return
- D. That interest rates determine all stock returns

2. What is a "factor" in this context?

- A. A company's stock ticker symbol
- B. A type of brokerage account
- C. A specific, measurable characteristic historically associated with different returns
- D. A government regulation on trading

3. In the illustrative example, why were Stocks A and B held?

- A. Their trailing 6-month return ranked them at the top of the universe
- B. They had the lowest P/E ratios in the universe
- C. They paid the highest dividends
- D. They were the largest companies by market cap

4. What is a documented risk specific to momentum strategies?

- A. They require no rebalancing at all
- B. They can only be used on bonds
- C. They are immune to market downturns
- D. "Momentum crashes" - sharp, sudden reversals, particularly around market turning points

5. Why does the lesson recommend diversifying across many names in a factor strategy?

- A. Because factors only work with exactly one stock
- B. Because diversification eliminates all risk entirely
- C. Because the statistical edge comes from holding many names, not a few
- D. Because regulators require a minimum number of holdings

Answer Key

1. What does a momentum strategy bet on?

Correct answer: B. That assets which have recently performed well will keep outperforming

Momentum is the tendency for recent winners to keep outperforming - the mirror image of mean reversion.

2. What is a "factor" in this context?

Correct answer: C. A specific, measurable characteristic historically associated with different returns

Momentum, value, quality and size are all examples of factors.

3. In the illustrative example, why were Stocks A and B held?

Correct answer: A. Their trailing 6-month return ranked them at the top of the universe

A momentum factor strategy ranks purely on trailing return, regardless of any company-specific view.

4. What is a documented risk specific to momentum strategies?

Correct answer: D. "Momentum crashes" - sharp, sudden reversals, particularly around market turning points

Momentum strategies have historically suffered sharp, sudden reversals known as momentum crashes.

5. Why does the lesson recommend diversifying across many names in a factor strategy?

Correct answer: C. Because the statistical edge comes from holding many names, not a few

Factor investing works as diversification across many small, uncorrelated bets, not concentrated theses.